the widely accepted argument that the economy will avoid recession has eliminated (as it did in 1988) fears of default. Optimism is so entrenched that no one has panicked despite two events. *Barron's* reported in February 1994 that Brady bonds, i.e., "developing country" (a euphemism for risky as hell) debt, had suddenly fallen 5% to 20% from their highs *on average*. There was little concern. Just recently, in January 1995, Mexican bondholders suffered from a drop in the value of the peso in yet another hint of the coming disaster. Again, there is no concern, as the Federal government's transfer of $40 billion to Mexico to guarantee its debt has been hailed as a cure for the latest problem. In both cases, the press and financial community have assured us that "this is just an isolated incident." "Savvy" investors and fund managers, say the media, are once again snapping up the resulting "bargains" in high yielding government debt.

Professionals have become completely reassured of junk bonds' safety. *Issuers* are insisting upon buyback clauses under the assumption that they will be able to issue stock to cover the debt. *Underwriters* have become increasingly willing to pay issuers the entire amount for junk bonds on the presumption that selling them will be no problem. Junk bond *fund managers* have become similarly complacent, as one observant subscriber recently noted:

> The accountants at my mutual fund firm are making an astonishing change in policy for their two junk bond funds. The funds are being changed from "equity fund accounting," whereby dividends payable to investors are booked against the fund only once a month on the record date, to "daily accrual accounting," which previously had been reserved for only the higher rated, conservative bond funds. Management is so convinced that junk bonds are secure, they want to book the dividends, and proration them to the shareholders, *in advance of the actual dividend payable declaration*. I think this says a lot about sentiment in the junk bond market!

Another factor has helped investor psychology regain its former level of complacency: junk bond *insurance*. Insurance companies now back much high-yield corporate and municipal debt. While otherwise they might have been shy, investors, public and professional alike, have bought "insured" bonds because they are convinced that even if companies and municipalities default on their debt, insurance companies will pay them off. Confidence in ultimate payment